

Perishable Goods Inventory & Spoilage Analysis

Executive Summary: An analysis of high-level financial and volumetric operational metrics reveals that while market demand remains robust—driving over ₹59.11 Crores in top-line revenue—the business suffers from an unsustainable inventory leakage pattern. Currently, approximately 20.4% of all product stock is lost directly to waste and spoilage. By establishing targeted operational interventions, the company can systematically recapture lost capital and protect margins.

Core Performance Dashboard Metrics

TOTAL REVENUE	TOTAL PROFIT	AVG MARGIN	UNITS SOLD	UNITS WASTED
₹59,11,54,759	₹7,97,83,709	₹13.39	20,283,565	5,201,615

Key Strategic Data Findings

SUPPLY CHAIN LEAK

1. Spoilage Crisis in Frozen Logistics

Granular visualization shows that *Frozen Dinners* and *Frozen Desserts* are the absolute leading drivers of physical inventory unit losses, both pushing aggressively against the maximum threshold of 236,000+ wasted units. Because frozen categories possess longer natural storage windows compared to fresh produce, this high volume points directly to localized failures in over-procurement, warehouse tracking, or retail-level cold-chain operations.

SINGLE POINT OF FAILURE

2. Structural Revenue Over-Reliance

The revenue metrics demonstrate extreme category asymmetry: **Pharmaceuticals** generates over 68% of total organization revenue (exceeding ₹40.78 Crores), while the next largest category, Seafood, contributes only ₹4.65 Crores. This represents a heavy single-point dependency risk. Any systemic supply chain disruption, regulatory freeze, or expiration compliance penalty within the pharmaceutical network will instantly impair corporate cash flow.

OPERATIONAL BENCHMARK

3. Regional & Store Performance Disparity

Operational audits identify a massive performance variance among retail branches. STORE_040 heavily outpaces all other branches to secure maximum branch profitability (₹27,40,948.81). Conversely, the remaining locations (such as STORE_012 through STORE_032) suffer from severe stagnation, clustering uniformly around a much lower profit threshold of ~₹22 Lakhs each. This indicates a failure to scale localized operational models across regions.

MARKET TREND

4. Cyclical Demand Fluctuations

The continuous demand matrix maps a visible performance drop-off in **October (falling to 481,464 units)** followed by a strong historical spike in **December (peaking at 580,713 units)**. Continuing a flat, uniform purchasing schedule throughout Q3 and Q4 creates automatic overstocking and waste during the October valley, while introducing major stockout hazards during the December holiday rush.

Strategic Operational Recommendations

- ✓ **Implement FEFO (First-Expired, First-Out) Logistics**

Deploy immediate batch-expiry tracking schedules explicitly for the frozen distribution lines. Pushing the oldest warehouse inventory to retail floors first ensures slow-moving stock clears before hitting critical spoilage windows.

- ✓ **Standardize and Clone the STORE_040 Model**

Initiate an immediate internal operations review of STORE_040 to isolate their specific procurement, local inventory tracking, and shrink-reduction practices. Create an operational playbook to push these methods out to the remaining stagnant stores.

- **✓ Execute Dynamic Seasonal Q4 Scheduling**

Shift from fixed purchasing models to dynamic demand ordering. Reduce incoming supplier purchase orders by 15-18% running into the early October demand valley, and scale order allocations starting in mid-November to smoothly accommodate the December surge.

- **✓ Target Short-Term Promotional Clearances**

To clear out potential dead stock before the low-demand weeks of October, automate smart bundle discounts or markdown triggers on high-volume perishable categories to liquidate extra units while retaining margin baseline values.